

Investment Digest, *Grant's Interest Rate Observer*, *Value Investor Insight*, *Santangel's Review*, and *Form4Oracle*, which provides data on insider sales and purchases. I also use two members' only websites that share investment ideas: Value Investors Club¹ and SumZero. Two other useful websites are Vickers Stock Research, which tracks institutional holdings of individual stocks, and Thompson Reuters, which both aggregates brokerage firm research and provides transcripts of company presentations at conferences and quarterly earnings calls. These transcripts can be particularly useful. I will often read through a transcript more than once looking for upbeat or downbeat comments, or signs of evasiveness. Finally, I review SEC Filings (10Ks, 10Qs, and Proxy Statements) and FDIC Bank Call Reports.

How do you go from a list of possible investment candidates—your screen lists supplemented by the ideas garnered by reading and networking—to selecting actual investments?

Then the real work begins, which is the qualitative assessment.

What do you look for in the qualitative assessment?

The first thing, is it an easily understandable business. I focus on companies I am familiar with—what Warren Buffett calls investing within a “circle of competence.” I avoid difficult to understand industries with short and unpredictable product life cycles, such as biotechnology and high technology.

I look for good businesses. A good business is one that provides a necessary service or product and has a balance sheet and cash flow that can sustain it through difficult periods. I also look for companies that other companies might like to acquire due to their market share, intellectual property, distribution network, or real estate value.

After I have identified a company to research, I will then begin to read through any Wall Street research I can find, especially initiation reports—the reports produced by analysts when they first begin coverage on a company—even if the report is somewhat dated. I find these reports provide great background on a company and the industry it competes in. Frequently, these reports include some background on the company's